



What is the general situation for foreign companies in your jurisdiction?

When evaluating the general situation for foreign companies and investors in Bangladesh, it is appropriate to review:

-) the key laws and regulations that constitute, and the government agencies and regulators that play a key role in the regulatory framework that governs foreign companies and investors; and
-) the various legal forms or options available to foreign companies and investors under such regulatory framework, and the relative advantages and disadvantages of each of such legal forms or options.

The key laws and regulations that govern foreign companies and investors are:

- the Foreign Exchange Regulations Act 1947, as amended by the Foreign Exchange Regulation (Amendment) Act, 2015 ('FERA'), and the regulations promulgated thereunder by the Bangladesh Bank ('BB'), the central bank of Bangladesh, which regulations are compiled by the BB in the Guidelines for Foreign Exchange Transactions Volume 1 & Volume 2 (2009), and updated by BB's circulars issued from time to time (collectively, the 'FX Guidelines'); and
- the Companies Act, 1994 of Bangladesh (Act No. XVIII of 1994) ('CA 1994').

The key Bangladeshi government agencies or regulatory bodies that impact or regulate foreign companies and investors are:

-) the Bangladesh Investment Development Authority ('BIDA'), formerly known as the Board of Investment, which facilitates foreign investment by advising foreign investors and assisting them with utilities, land acquisition, etc;
-) BB, Bangladesh's central bank, which regulates the outward repatriation of capital and capital gains; and
-) the Registrar of Joint Stock Companies and Firms ('RJSC'), which registers both foreign companies establishing a place of business in Bangladesh and foreign-owned locally incorporated companies.

ie general situation of foreign companies and investors in Bangladesh concerning the challenges faced by them and/or the advantages provided to them in Bangladesh is determined by the legal form or option a foreign company or investor chooses to establish a place of business in Bangladesh:

(i) foreign companies incorporated outside of Bangladesh registering (a) with BIDA as a Liaison Office or Branch Office, with a notification to BB within 30 days of the BIDA notification, plus (ii) with RJSC as a foreign company under sections 378 and 379 of CA 1994: in addition to not having a separate legal personality, such foreign companies face a number of challenges:

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- (i) such registration is for a specific period and must be renewed upon expiry; and
 - (ii) their activities are strictly restricted. Specifically, if a foreign company registers itself with BIDA as a Liaison Office, it may engage only in marketing and other non-revenue generating activities, which are to be funded only by inward remittances sent in by the foreign office (i.e. a Liaison Office is a cost centre prohibited from engaging in any commercial or other revenue generating activities). If registered as a Branch Office, a foreign company may engage solely in the activities necessary to execute its work under a project agreement or other contract as specified in the application with BIDA. If so specified in its application to BIDA, a foreign company may fund its Branch Office from local revenues earned from its specified contract and, with prior approval of BIDA and BB, repatriate Branch Office profits to the foreign office.
- (b) foreign companies or investors registering with the RJSC a locally incorporated foreign wholly-owned or partially owned/ joint venture company limited by shares (a ‘foreign-owned company’) under sections 5 and 6 of CA 1994. If such foreign owned company is set up as an industrial venture, it may register with BIDA to take advantage of BIDA’s foreign investment advisory and facilitation services.

Regarding inward remittances of foreign exchange by foreign investors, under section 13(1)(s) of FERA and Chapter 9, paragraph 1 of the FX Guidelines, foreign investors are free to invest in a foreign-owned company in Bangladesh, provided that such investments are brought in and recorded in an Authorised Dealer (‘AD’) bank. No permission of BB is needed to set up such companies if the foreign investors use their own funds (if funding of

such foreign-owned companies is by foreign loans, as per Chapter 15 of the FX Guidelines, such foreign loans must be: (a) registered with, and the interest payments thereunder approved by BIDA; and (b) funded from institutional lenders, except for loans with a term of 12 months or less, which may be provided by the foreign investor/shareholder). Except where a foreign-owned company needs to register with BIDA for work permits for foreign

employees (in which event, the minimum foreign investment into the share capital of such company is required to be at least US\$50,000), foreign investment into such companies is not subject to a minimum amount.

Regarding outward remittances of foreign investment by foreign-owned companies to their foreign shareholders, under section 5(1) of FERA and Chapter 10(31)(a) of the FX Guidelines, foreign-owned companies may remit via their AD bank dividends to their foreign shareholders by applying to their AD bank in the prescribed form. Such outward remittance payments of dividends may be made freely without any prior approval of BB.

Regarding an exit by a foreign investor by disposal of shares in a foreign-owned company, under section 13(1)(d) of FERA and Chapter 9, paragraph 3(B) of FX Guidelines (as amended by BB Circular 32 of 31 August 2014):

- (a) if the shares are in a public limited company listed on either the Dhaka Stock Exchange ('DSE') or the Chittagong Stock Exchange ('CSE'), the capital and capital gains from the disposal of shares may be remitted outward to the foreign investor freely and without any prior approval of BB, subject to the remitted amount not exceeding the market price of such shares;
- (b) if the shares are unlisted shares of a public limited company or are in a private limited company, and are sold to a resident of Bangladesh, then prior approval of BB is required for the outward remittance of the capital and capital gains, subject to such

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remittance amount being equal to or less than the 'fair market value' of the shares as certified by a licensed merchant bank or chartered accountant (whose certificate is to be submitted with the application made to BB for such prior approval). If the shares in such foreign-owned company are sold to a non-resident, then under a general exemption specified in Chapter 14 of the FX Guidelines, such sale may be consummated without BB's prior approval.

Regarding the registration requirements under CA 1994, a foreign-owned company is registered with the RJSC in substantially the same manner as a wholly Bangladeshi-owned company. The incorporation procedure commences by obtaining 'Name Clearance' from the RJSC for the name of the proposed company. The procedure is complete upon the issuance of a Certificate of Incorporation by the RJSC. The incorporation procedure for foreign-owned companies does not involve anything significantly different from that of locally owned companies, except for the requirement under Chapter paragraph 2(b) of the FX Guidelines that foreign exchange brought into an AD bank must be first cashed in a proposed company account prior to the issuance of shares. Accordingly, unlike a wholly Bangladeshi owned company, a foreign-owned company must open a proposed company bank account in Bangladesh under the proposed company's name by submitting the Name Clearance certificate obtained from the RJSC to the bank. Prior to filing incorporation documents with the RJSC, the foreign investor/shareholder must: (a) remit in foreign exchange the applicable share capital

mount into such account; and (b) thereafter obtain from the AD bank an encashment certificate evidencing the conversion of such share capital funds in foreign exchange into Bangladesh Taka. At incorporation, the encashment certificate must be filed with the RJSC along with the new company's memorandum and articles of association and other prescribed RJSC forms.

What are the key laws and regulations that govern company law in your jurisdiction?

The primary statute that governs companies in Bangladesh is the CA 1994. It consists of 404 sections divided into 11 parts which cover, among others, a company's constitution and corporation, share capital, registration, liability of directors, management and administration (including all procedures for administering matters of the board of directors and shareholders), and winding-up.

The CA 1994 also contains 12 schedules of regulations and forms which include, among others, templates of memorandum and articles of association, requirements of annual financial statements etc. Schedule I of the CA 1994 sets out regulations that apply to the management of a company limited by shares which can be adopted by a company in its articles of association, including the mandatory regulations which cannot be excluded by the articles of association.

The Companies Rules, 2009 (No. 7309G) ('CR 2009') is also an integral piece of legislation that governs company law in Bangladesh. The CR 2009 contains Forms relevant to different aspects and stages in the running of a company and in company law proceedings, which include, among others, petition for reduction of capital, notice to creditors, affidavit by sureties, notice of dividend, and notice of appointment of liquidator.

The Securities and Exchange Ordinance, 1969, the Securities and Exchange Rules, 1987 and the Securities and Exchange Commission Act, 1993 ('SECA 1993') are of particular importance to issuers of securities that are listed on either of the two stock exchanges of Bangladesh: the DSE and the CSE. These laws regulate the activities of issuers and set out the penalties for violations.

The Bangladesh Securities and Exchange Commission ('BSEC'), which regulates capital markets in Bangladesh, also issues various

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rules, orders, notifications and directives from time to time which have the effect of law and regulate the activities of companies.

Other laws and regulations that impact company law, specifically in regards to the personal liability of a company's directors, are the Bankruptcy Act of 1997, the Money Laundering Prevention Act, 2009 and Negotiable Instruments Act, 1881.

3. What are the most common types of companies in your jurisdiction?

There is no official method to fast-track the incorporation of a company. However, for foreign-owned companies registering with BIDA as industrial ventures, it may be noted that Bangladesh is in the process of passing legislation to set up a one-stop service centre at BIDA, under which BIDA would assist with the incorporation of foreign-owned companies by ensuring the completion of registration with RJSC within 48 hours of filing.

5. What are the main registration

your requirements for companies in

Private companies limited by shares ('private limited companies') and public companies limited by shares ('public limited companies') are the most common types of companies formed in Bangladesh. Section 2(q) of CA 1994 defines a private company as one which by its articles restricts the right to transfer its shares, if any, prohibits any invitation to the public to subscribe for its shares or debenture, if any, and limits the number of its members to 50 not including persons who are in its employment. Section 2(r) of CA 1994 defines a public company as a company which is not a private company. In addition, an association not for profit under section 28 of CA 1994 and a company limited by guarantee under section 29 of CA 1994 may be formed to engage in not-for-profit activities.

4. How long does it take to set up a company in your jurisdiction?

Provided that the memorandum and articles of association have been drafted beforehand and are ready for filing with the RJSC and an encashment certificate has been received from the AD bank in the name of the proposed company (where it is a fully or partly foreign-owned company), usually it takes approximately 10–15 working days to incorporate a company in Bangladesh, starting from the Name Clearance application to the issuance of a Certificate of Incorporation.

jurisdiction? What are the fees?

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The registration of companies commences with the application for Name Clearance to the RJSC and obtaining a Name Clearance Certificate from the RJSC. After obtaining a Name Clearance Certificate, a company with a proposed foreign shareholder must open a bank account in the name of the proposed entity and remit the initial share capital (paid-up capital) to the said account and obtain an encashment certificate issued by the bank.

The following documents have to be submitted to the RJSC to process the incorporation of the entity:

- (a) memorandum and articles of association
- (b) encashment certificate (for foreign-owned companies)
- (c) Name Clearance Certificate
- (d) Tax Identification Number (TIN) Certificate
- (e) Treasury Challan
- (f) Form I (Declaration on registration of company)
- (g) Form VI (Notice of situation of registered office and of any change therein)
- (h) Form IX (Consent of directors to act)
- (i) Form X (List of persons consenting to be directors)
- (j) Form XII (Particulars of Directors, Managers, Managing Agents and of any change)

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Additional identification documents for the foreign shareholder and/or the nominee director (where the foreign shareholder is a corporate shareholder) are also required by the RJSC to complete the incorporation.

The fees for the incorporation of a company are calculated (in part) on the basis of its authorised share capital. For example, a company with an authorised share capital of Taka 50 million would incur the following charges:

- (a) registration fee: Taka 76,250;
- (b) registration filing fee: Taka 2,400;
- (c) stamp fee for the memorandum and articles of association: Taka 9,150;
- (d) fee for certified copies of the memorandum of association, Form XII and Digital Certificate of Incorporation: Taka 2,220.

As registration costs are subject to change, and it is very likely that additional administrative costs may have to be incurred to complete the incorporation process.

Other important registrations for a company include:

- (a) value added tax ("VAT") registration under the VAT Act, 1991;
- (b) depending on the location of the office or place of business, a trade licence from the local government authority (union parishad/pourashava/city corporation office) for the company's specific type of trade or business;
- (c) depending on the nature and size of the business and its premises, building fire licences, specific clearances from relevant ministries of the government and/ or licences which involve the handling of particular substances and commodities etc.

The fees for these registrations vary depending on the location of the office or place of business as well as the company's share capital.

What are the main post-registration reporting requirements for companies in your jurisdiction?

The main post-registration reporting requirements for companies in Bangladesh are listed below. The documents are filed with the RJSC in its prescribed forms and/or in the forms set out in CA 1994 or CR 2009, as applicable:

-) Form VII (Statutory Report): within a period of not less than one month and not more than six months from the date at which the company is entitled to commence business, every company limited by shares and every company limited by guarantee and having a share capital must hold a general meeting of the members of the company, which is defined as a statutory meeting under the CA 1994. The board of directors is required to prepare a report which is referred to as a statutory report and must forward the report to every member of the company at least 21 days before the day on which the statutory meeting is to be held;
-) Form VIII (Special Resolution/ Extraordinary Resolution): a copy of every special and extraordinary resolution must be printed or typewritten and duly certified under the signature of an officer of the company and filed with the RJSC within 15 days from its passing;
-) Schedule X (Annual Summary of Share Capital and List of Shareholders, Annual Summary of Directors): under section 36(1) of CA 1994, a company must file with the RJSC an annual summary of share capital and list of shareholders within 18 months of its incorporation and annually thereafter. A private company must submit with the annual return a certificate signed by a director or other officer of the company that the company has not issued any invitation to the public to subscribe for any shares or debentures of the company;

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- (d) Form XLI (Notice of Alteration in the Address of the Registered Principal Office of the Company): notice of any change in the registered address of a company must be given within 21 (twenty-one) days after the change to the RJSC;
- (e) Balance sheet and profit and loss account: under section 190 of CA 1994, a company must file with the RJSC copies of its balance sheet and profit and loss account within 30 days from the date on which the balance sheet and the profit and loss account are laid before its annual general meeting.

The above is not an exhaustive list. Other reporting requirements are triggered in different situations such as a transfer of shares, return of allotment, changes to the board of directors.

As per the CA 1994, it is not mandatory for a company in Bangladesh to have a company secretary.

7. Are there any controlling factors or restrictions on foreign companies in your

jurisdiction?

See question 1 in relation to foreign exchange regulations applicable to foreign-owned companies.

Furthermore, the National Council for Industrial Development ('NCID') lists a total of 17 of industries designated as 'controlled industries': (a) fishing in the deep sea; (b) banks/financial institutions in the private sector; (c) insurance companies in the private sector; (d) generation, supply and distribution of power in the private sector; (e) exploration, extraction and supply of natural gas/oil; (f) exploration, extraction and supply of coal; (g) explora-

as fuel); (j) medium and large industries using natural gas/condensate and other minerals as raw materials; (k) telecommunications services (mobile/cellular phone services and landlines); (l) satellite channels; (m) cargo/passenger aviation; (n) sea-bound ship transport; (o) sea-ports/deep sea-ports; (p) VoIP/IP telephone; and (q) industries using heavy minerals accumulated from the beach.

In these sectors, the government reserves the right to fix the equity ratio for foreign investors/shareholders to local investors/shareholders. NCID has the right to expand or amend the list as it sees fit. Enterprises in these controlled sectors cannot be registered with the BIDA without prior approval from the relevant ministries of the government.

In addition to the broader restriction stated by NCID, in some cases, sector-specific legislation also imposes a maximum ceiling for a foreign stake in the licensee entities for some of these controlled industries. Examples include certain services in the telecommunications sector such as licences granted for International Gateway (IGW), Interconnection Exchange (ICX) and VoIP Service Provider (VSP).

The government of Bangladesh has also listed certain sectors as 'reserved sectors' where foreign investment is restricted for the purpose of national security or other reasons: (a) arms and ammunition and other military equipment and machinery; (b) nuclear power; (c) security printing and minting; and (d) forestation and mechanised extraction within the boundary of a reserved forest.

8. What is the typical structure of directors (or family management structure) and liability issues for companies in your jurisdiction?

tion, extraction and supply of other mineral

resources; (h) large-scale infrastructure projects (e.g. flyovers, elevated expressways, monorails, economic zones, inland container depots/container freight stations); (i) crude oil refineries (recycling/refining of lube oil used

Directors, other than directors nominated by corporate shareholders, must own qualifying shares, the number of which can be specified in the articles of association. Directors nominated by corporate shareholders are not required to

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own qualifying shares. Directors must execute a Form IX: Consent of Director (in a prescribed format, as set forth in the Schedules to CA 1994). This executed Form IX must be filed with the RJSC for the directorship to become effective. Furthermore, a Form XII: Particulars of Directors, Managers and Managing Agents (in a prescribed format, as set forth in the Schedules to CA 1994) must be executed by the Managing Director and filed with the RJSC. For subsequent appointment of directors (post-in-corporation), directors must be appointed at a general meeting of the shareholders, provided, however, casual vacancies on the board can be filled pursuant to a meeting of the existing board of directors. CA 1994 allows non-resident and/or foreign individuals to be appointed as directors of private limited companies.

Under the CA 1994, companies may be formed with the liability of shareholders limited by

What is the minimum number of directors and shareholders required to set up a company in your jurisdiction? Are there any requirements that a director must be a natural person?
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As per sections 2(q) and 90(1) of the CA 1994, private limited companies in Bangladesh are required to have a minimum of two directors and two shareholders and a maximum of 50 shareholders. Under section 90(1) of the CA 1994, public limited companies and private limited companies which are subsidiaries of public limited companies are required to have at least three directors and a minimum of seven shareholders.

Section 90(3) of the CA 1994 expressly states that a director must be a natural person.

What are the requirements on how shares are offered in your jurisdiction?

shares or limited by guarantee (a limited

company), or with the liability of shareholders unlimited (an unlimited company). Section 5(a) of the CA 1994 defines a company limited by shares as ‘a company limited by shares, that is to say, a company having the liability of its member limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them’. The limited liability of a company limited by shares is further emphasised in section 235(iv) of the CA 1994, dealing with the liability of contributories of past and present members on the winding-up of a company: ‘in the case of a company limited by

ares, no contribution shall be required from any member exceeding the amount, if any, unpaid on e shares in respect to which he is liable as a present or past member’.

Private Limited Companies

Shares may be offered at three different stages:

- at the time of incorporation: shares may be offered to members at incorporation pursuant to the memorandum and articles of association. The shares of a private limited company cannot be offered to members of the public;
- transfer of existing shares: shares may be offered to new shareholders by transferring one or more of the shares held by the existing shareholders in the manner provided in the company’s articles of association. Per Regulation 18, Schedule 1, CA 1994, an instrument of transfer of shares (namely, Form 117) must be executed by both the transferor and the transferee. The transferor remains the holder of the share until the name of the transferee is entered in the register of members. Furthermore, an affidavit must also be executed by the transferor confirming the said transfer and duly notarised before a recognised Notary Public of Bangladesh;

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(c) return of allotment: under section 151 of the CA 1994, where a company having a share capital makes any allotment of its shares, it is required to file a duly completed Form XV with the RJSC.

Public Limited Companies

Shares may be offered to members of the public pursuant to:

- (a) a prospectus registered with the RJSC under section 138 of the CA 1994; or
- (b) a statement in lieu of a prospectus registered with the RJSC under section 141 of the CA 1994.

If the public limited company is not already listed on a stock exchange in Bangladesh, an application must be made to the BSEC to make an initial public offering (IPO) of the company’s shares. The company would have to comply with the BSEC regulations on making an IPO and the applicable listing regulations of the respective stock exchange.

11. What are the key laws and regulations on employment in your jurisdiction that companies should be aware of? Are there any aspects of employment law that are heavily regulated?

The primary statute that governs employment and labour matters in Bangladesh is the Labour Act, 2006 (‘LA 2006’). The Labour Rules, 2015 (‘LR 2015’) was enacted pursuant

to section 351 of the LA 2006. It sets out in more detail the matters covered in the LA 2006 and provides greater clarity and specificity on certain aspects of the LA 2006. The LA 2006 and LR 2015 must be read together for an accurate and comprehensive understanding of the labour law regime.

An important point to note regarding the application of the LA 2006 and LR 2015 is that the pro-employee provisions of both LA 2006 and LR 2015 are applicable to employees who fall within the definition of a ‘worker’ as

defined in the LA 2006. Section 2(65) of the LA 2006, as amended in 2013, defines ‘worker’ as including all employees except for those engaged in a managerial, administrative [or supervisory] capacity’. The Bangladesh High Court has defined ‘worker’ broadly by holding that a manager etc. may be deemed a non-worker only if he or she has the power to make hiring and/or firing decisions over employees under his or her management.

Any employee who falls outside the ambit of the term ‘worker’ is a ‘non-worker’. The terms of employment of a non-worker are governed solely by the contract of employment between the non-worker and the employer.

In addition, section 27 of the Contract Act of 1872 may be referred to in that it renders void restrictive covenants that seek to restrain employees from competing after their employment has ended.

Furthermore, companies operating in an export processing zone would be subject to the Bangladesh Export Processing Zones Authority Act, 1980 and the rules and regulations of the Bangladesh Export Processing Zones Authority.

12. What is the nature of the corporate governance regime in effect in your jurisdiction? What agencies or government bodies regulate corporate governance?

The corporate legal framework in Bangladesh consists of various statutes, namely, CA 1994, Securities and Exchange Commission Ordinance, 1969, SECA 1993, Bangladesh Bank Order, 1972, Bank Companies Act, 1991, Financial Institutions Act, 1993, Bankruptcy Act, 1997, and the Foreign Exchange Regulation Act, 1947. Corporate governance in Bangladesh is mainly regulated by RJSC, BSEC and BB. The existing system does not provide sufficient legal and economic motivation for companies to inspire and implement corporate governance practices.

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Does establishing a company in your jurisdiction grant any kind of residency rights? Are there any conditions that in order to receive these residency rights (if applicable) one must partner or establish a joint venture with a local (e.g. a citizen of

our jurisdiction)?

establishing a foreign-owned company in Bangladesh, a foreign investor is not automatically granted residency rights. However, a prospective foreign investor may obtain a multiple-entry ree-year investor visa by applying for such investor visa with BIDA. Such investor visa allows r entry into and short-term stay in Bangladesh for the visa holder, but does not allow for such investor visa holder to work and earn a salary in Bangladesh. If a foreign investor wishes to reside Bangladesh as an employee of the investee foreign-owned company, then subject to a minimum amount of foreign capital and number of local employees, she/he may be eligible for d be granted a work permit to work/reside in and earn a salary in Bangladesh.

When is a company subject to tax in your jurisdiction? What are the main taxes at may apply to companies in your jurisdiction?

Bangladesh, as per section 75 of the ITO 1984, it is mandatory for all companies incorporated Bangladesh to obtain an e-TIN (Electronic Tax Identification Number) from the National Board of Revenue ('NBR') and to file a tax return on the later date of six months from the end of e accounting year or 15 July of the particular year. Such filing may be accompanied by an dited financial statement, computation of total income with a supporting schedule and other pporting documents. The

t present, the rate of corporate tax of a non-listed company is 35% of a company's total income a year. The rate of VAT usu- ally depends on the respective HS Code (an internationally andardised system of names and numbers to classify traded products) of the products and/or rvices provided by the company. However, the most common rate of VAT in Bangladesh is ;%.

How does the competition law in your jurisdiction regulate companies?

ie Competition Act, 2012 ('Comp Act') was promulgated to monitor the market and protect the id consumers of products and services. It mandates the creation of the Bangladesh Competition ommission ('BCC') which is vested with the power of overseeing the market and taking ecessary measures against unscrupulous business practices and organisations.

ction 16 of the Comp Act restricts organisa- tions and groups from abusing their dominant position. 'dominant position' is defined as a position of strength which is enjoyed by an organisation in the levant market by creating a monopoly situation. However, the Comp Act did not specify the precise nit beyond which an act would be treated as anti-competitive. Besides, the Comp Act remains silent i the issues which the BCC must take into account in order to determine a relevant market.

is to be noted that although the BCC was established under the Comp Act, it has not become fective yet, for many practical rea- sons, in respect of overseeing market practices and implementing

the provisions of the Comp Act.

What are the main intellectual property rights companies should be aware of in your jurisdiction?

The filing date can be extended upon application

for up to two months at first occasion and can be further extended for another two months.

The main taxes that may apply to companies in Bangladesh are corporate taxes and VAT.

The main intellectual property rights companies should be aware of in Bangladesh are trademarks, patents and copyrights. Intellectual property such as industrial design

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does not play a significant part, and very few cases have reached the Supreme Court of Bangladesh or have been reported.

In Bangladesh, an applicant can apply for trademark or patent registration at the Department of Patent, Design and Trademark under the Ministry of Industries.

An application for copyright registration is to be submitted at the Copyright Office under the Ministry of Cultural Affairs.

It takes around two years to register a trade-

(d) the Constitution of Bangladesh provides protection of privacy in general terms: the right to the privacy of one's correspondence and other means of communication is declared as a fundamental right of a citizen of Bangladesh.

Additionally, BB issued a guideline in 2015 to ensure information, communication and technology security in the financial sector.

18. Are there any incentives to attract foreign companies to your jurisdiction?

mark or a patent and around 4–6 months to

register a copyright, provided that there is no objection from the registrar or any opposing party.

Bangladesh is a member of the international treaty, Paris Convention for the Protection of Industrial Property, along with 176 other countries. Bangladesh is also a member of the

international treaty, Berne Convention, along with 172 other countries. As per the Berne Convention, if a copyright work is registered in one member country, it will have protection in all member countries of the Berne Convention.

17. Does your jurisdiction have laws or regulations that govern data privacy?

Bangladesh does not have any specific law that governs personal information or data privacy. However, the following statutes may be noted in relation to their regulation of data privacy:

- (a) the Information and Communication Technology Act, 2006 provides relief against computer hacking and unauthorized access of data;
- (b) the Right to Information Act, 2006 prohibits disclosure of any information which would harm an individual's privacy or personal life;
- (c) the LA 2006 imposes criminal sanctions on employees by way of penalty for wrongful disclosure of an employer's confidential information or trade secrets;

See question 1 in regards to the repatriation of dividends and capital/capital gains to foreign shareholders of a foreign-owned company.

There are also tax incentives for foreign companies, as provided for in sections 44–47 of the ITO 1984. For instance, under section 46A, 46B and 46C of the ITO 1984, there are tax exemptions for the business of industrial undertaking and of physical infrastructure facilities for a number of years as stated in the respective provisions. Moreover, under paragraph 33 of Part A of the Sixth Schedule to the ITO 1984, as amended by Bangladesh Income Tax Paripatra (Circular) 2015 and Finance Act, 2016, there is a tax exemption on any income derived from the business of software development information technology, information technology enabled services and nationwide telecommunication transmission network up to 30 June 2024.

Moreover, double taxation can be avoided in most cases as Bangladesh benefits from many bilateral investment agreements with other countries.

19. What is the law on corporate insolvency in your jurisdiction?

The primary statutes on corporate insolvency in Bangladesh are the Bankruptcy Act, 1997 and sections 234–344 of the CA 1994.

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20. Have there been any recent proposals for reforms or regulatory changes that will impact company law in your jurisdiction?

The CA 1994 has been considered for amendment for a number of years. In this regard,

the Ministry of Commerce has published the draft Companies Act 2013 for comments, but it has not yet been implemented and there is no confirmation as to when this bill will be passed as an Act. We have to wait and see what changes this Act will bring and the impact it will have in Bangladesh.

21. Are there any features regarding company law in your jurisdiction or in Asia that you wish to highlight?

In Bangladesh, a minimum of two shareholders are required to incorporate a company, whereas in many countries, a single shareholder can incorporate a company and is free to hold 100% of the shares of the company. Furthermore,

Bangladesh law does not provide for any pass-through companies such as LLCs in certain jurisdictions. Finally, the following provisions of the CA 1994 may be noted:

- (a) section 106 provides that a shareholder- director may be removed only at a duly called and quorumed extraordinary general meeting and upon the affirmative vote of three-quarters of the shareholders present at such meeting. This provision does not apply to nominee directors appointed by corporate shareholders, who as per a provision that should be inserted in the articles of association may be appointed and removed at the sole discretion of the appointing shareholder; and
- (b) section 85(1) contains provisions as to meetings and votes which are to have effect notwithstanding any provision in the articles of association, and section 85(2) contains provisions which are to have effect in so far as the articles of association do not make provision in that behalf.

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